

Question:

A distributor agrees to sell 100 tubes of growth hormone to a medical treatment center in exchange for \$30,000. The contract has many clauses, including one that prohibits generally the assignment of the contract or any of its terms. The distributor assigns its right to receive the funds anyway. Will a court enforce the bar against assignment under these circumstances?

Answer Choices:

- A. No, a bar of assignment does not apply to the right to receive the funds unless specifically stated.
- B. Yes, unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds.
- C. No, a bar of assignment can only be enforced if it is notarized and legally binding.
- D. Yes, a bar against the right to receive proceeds is a favored restriction unless otherwise stated.
- E. Yes, a contractual provision prohibiting assignments is enforceable in all respects.
- F. Yes, a bar of assignment applies to all aspects of the contract, including the right to receive funds.
- G. No, a bar of assignment is an unconstitutional deprivation of due process.
- H. No, a bar of assignment is unenforceable if it inhibits the completion of the contract.
- I. No, a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business.
- J. Yes, a contractual provision prohibiting assignments is enforceable unless it contradicts federal law.

Reasoning + Answer:

<tool_call> reasoning process here

The key issue in this question is whether a contractual provision that prohibits assignment applies to the right to receive payment (i.e., the right to receive \$ 3 0 , 0 0 0), even if the assignment is of the right to receive funds .

In contract law , a general prohibition against assignment typically applies to the rights and obligations of the parties , but courts often interpret such restrictions narrowly . A well-established principle is that a bar against assignment generally does not apply to the right to receive payment or proceeds , especially if the right to receive funds is not an " obligation " that is being assigned but rather a " benef it " that flows from the performance of the contract .

This is because the right to receive payment is a fundamental component of the contract's performance and is considered a " right to receive money , " which is not typically " assigned " in the same way as the right to receive goods or services . Courts often uphold the enforce ability of assignment restrictions on the obligation to perform or deliver goods , but they will not enforce such bars against the right to receive money unless the contract explicitly states that the restriction applies to the right to receive funds .

Therefore , a general prohibition on assignment that does not specifically include the right to receive funds will not be enforced in such a case .

The correct answer must reflect that a bar against assignment does not apply to the right to receive funds unless specifically stated .

Option A correctly states that a bar of assignment does not apply to the right to receive funds unless specifically stated .

Other options either incorrectly suggest the bar is enforce able in all cases (e.g., E , F , J), or introduce invalid legal doctrines (e.g., G , C , H , I), which are not applicable under contract law .

< answer >A</answer>